INTRODUCTION

Fixed-income instruments, such as loans and bonds, are the most common means of financing. Fixed-income issuers include businesses, governments, and not-for-profits that promise to pay interest and repay borrowed principal to investors. Loans are commonly used between an individual or company and a bank. Bonds are more standardized fixed-income instruments designed to be more easily tradeable than loans and are commonly issued by larger companies, governments, and special purpose issuers. Bonds are a core holding for many investors, including mutual funds, pension plans, insurance companies, and central banks. This module introduces the features of fixed-income instruments and the legal contracts that govern them.

Category
Fixed-Income Instrument Features

Learning Module Overview

- Fixed-income instruments are debt instruments, such as loans and bonds, that represent a contractual agreement under which an issuer borrows money from investors in exchange for interest and future repayment of principal.
- Key features of fixed-income instruments include the issuer (borrower), time to maturity, principal amount, coupon rate and frequency, seniority, and contingency provisions. These features in turn define the cash flow structure of the instrument.
- A fixed-income investor (lender) receives a return or yield based on the periodic cash flows paid by the bond issuer and the change in price of the bond. A bond's price and yield vary inversely with one another.
- Fixed-income investors are exposed to credit risk, the risk of loss resulting from the issuer failing to make full and timely payments of interest and/or to repay principal. Investors expect to earn the lowest yield on bonds that carry little or no credit risk and expect higher yields on lower-credit-quality instruments.
- A fixed-income instrument's credit quality is affected by the underlying source of repayment, its seniority, credit provisions such as collateral backing, and the issuer's willingness to pay.
- The legal contract describing the features and other terms of a fixed-income security is known as an indenture.
- Indentures often contain covenants, or legally enforceable terms, agreed to at the time of issuance. These may either require the bond issuer to take an action or prohibit the issuer from performing some action.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. The annual coupon amount for a fixed-rate bond is calculated by:

A. Multiplying its yield by the par value of the bond.
B. Multiplying its coupon rate by the price of the bond.
C. Multiplying its coupon rate by the par value of the bond.

Hide Solution

C is correct. On each interest payment date, a fixed-rate bond issuer pays investors a coupon payment equal to the bond's coupon rate times its par value. For periods shorter than a year, the annual coupon amount is divided into smaller equal periodic payments. For example, a bond with a par value of 100 and a coupon rate of 6% paid quarterly would pay coupon payments of 0.06 × 100 = 60/4 = 15 four times per year.

2. Match each bond type in the left column with a description in the right column.

A. Fixed-coupon bond	I. The difference between its issuance price and par value at maturity represents a cumulative interest payment at maturity.
B. Floating-rate note	II. Usually involves uniform payments that occur at monthly, quarterly, semi-annual, or annual intervals.
C. Zero-coupon bond	III. Involves interest payments that reset periodically based on market factors.

Hide Solution

Solution:

A. II is correct. Fixed-coupon bonds usually involve uniform payments that occur at monthly, quarterly, semi-annual, or annual intervals.
B. III is correct. Floating-rate notes (FRNs) involve interest payments that reset periodically based on market factors.
C. I is correct. Zero-coupon bonds are typically issued at a discount to par; the difference between the issuance price and par value represents a cumulative interest payment at maturity.

3. The coupon rate for a floating rate note (FRN) is composed of a market reference rate and:

A. a credit rating.
B. an issuer-specific spread.
C. The yield on a fixed-rate benchmark bond.

Hide Solution

Solution:

B is correct. An FRN coupon rate comprises a market reference rate (MRR) and an issuer-specific spread that is usually constant and set at the time of issuance, while the MRR resets periodically based on market factors. As the MRR changes, the FRN coupon rate and interest payment change accordingly.

A is incorrect. While the issuer's credit rating may be a determinant of an FRN's spread over the MRR, a credit rating is a letter-grade assessment of credit risk and is not directly involved in the calculation of the coupon rate.

C is incorrect. The yield on a fixed-rate benchmark bond would reflect top-down factors that determine interest rates, such as real growth and expected inflation, which are already considered in the MRR.

4. A sovereign bond is usually a safer investment than a corporate bond of similar maturity issued within a country because:

A. corporate bonds are subject to inflation risk.
B. sovereign bonds are backed by taxation and fiscal power of the issuing government.
C. sovereign bonds are secured by high-quality collateral, such as property and equipment.

Hide Solution

Solution:

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

each geographic market.

A is incorrect because sovereign bonds, unless specifically indexed to inflation, are also subject to inflation risk.

C is incorrect because sovereign bonds are typically not secured by collateral; this is more commonly a feature of corporate bonds and asset-backed securities.

5. Which of the following is the appropriate order of claims in liquidation, by type of bond, in order of highest to lowest?

A. Junior, senior secured, senior unsecured
B. Senior unsecured, senior secured, junior
C. Senior secured, senior unsecured, junior

Hide Solution

Solution:

C is correct. Senior secured debts would be the highest-priority claims to be satisfied. Senior unsecured debts would be the next to receive allocations of the liquidated asset value, and junior debts would be the lowest-priority claims to be satisfied.

6. Describe the purpose of a pari passu clause in a bond indenture.

Hide Solution

Solution:

A pari passu ("equal footing") clause ensures that a debt obligation is treated the same as the borrower's other senior debt instruments.

Discuss Filter

Discussion

What do you want to discuss... (required)

MS what is this pari passu in bond indentures, first time i hear of it?

Created 8 months ago by Marko Simovic 3 replies | Last Activity: 3 months ago
Show All replies Reply to this Comment

MK The solution given for ques 1 here the answer should be 1.5%, not 15%????

Created 6 months ago by Manan Khandelwal 2 replies | Last Activity: 3 months ago
Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search